

How fast does politics move a stock exchange?

Calibrating the magnitude of political shocks at the Bucharest Stock Exchange, 2020–2026

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Abstract

Question. How fast, and how strongly, do shares on the Bucharest Stock Exchange react to political news? We apply an event study to 24 events over 2020–2026, using daily quotes for the BET index, 8 liquid stocks and 4 complementary indices, plus 15-minute bars around the three major electoral shocks.

Speed. The response to electoral shocks forms at the open of the first session after the event. In November 2024 the intraday low came 15 minutes after the open.

Magnitude, in two senses. Results are calibrated with a placebo test of 500 pseudo-events run through an identical estimator. The null distribution of three-day cumulative abnormal returns has $\sigma = 1,94\%$ and a 95th percentile of 3,98%, so a 3% move over three days occurs on roughly 10,2% of BVB sessions with no political news at all. Read one event at a time, three of the 24 events clear the 5% threshold, the second-round presidential victory being the clearest at 6,94% and $p = 0,014$. Read in aggregate, political events do depart significantly from ordinary noise: mean absolute movement on event days is 2,00% against 1,38% on ordinary days, $p = 0,026$ in a permutation test, with 3 events above the 95th percentile against 1,1 expected by chance alone.

Robustness. Re-running the placebo test with four estimation windows, from 40 to 250 sessions, leaves the ranking of events unchanged (rank correlation 1,000). Restricting the null to the post-COVID regime gives a 95th percentile of 4,00%, essentially the full-period value, so the fat tails are not an artifact of the pandemic.

Cross-section. The large electoral shocks are domestic: STOXX Europe 600 was flat or slightly positive on the event days while BET diverged sharply. Banks absorb the first blow, with TLV at $-4,11\%$ in a single session.

Secondary contribution, methodological. Three of the most eye-catching results of an ordinary event study turn out to be measurement failures rather than market phenomena. A fixed estimation window that lands in a calm regime inflates every t -statistic at once. The public BVB feed's adjustment flag does not correct for dividends, so ex-dividend windows are contaminated. A market control estimated in calm conditions can turn a global crash day into a fictitious domestic effect. Each of the three produced results in this study that, taken at face value, would have supported wrong conclusions.

1 Data and method

1.1 Quotes

The Bucharest Stock Exchange publishes no developer API, but its website runs a TradingView-compatible datafeed at <https://wapi.bvb.ro/api> that answers plain HTTP requests. The parameters are `symbol`, `from`, `to`, `rs`, `ajust`, `countback` and `currencyCode`, and the daily resolution must be requested as `rs=1D`. We downloaded daily bars in RON for 1 January 2020 to 28 September 2026: the BET index, 8 liquid stocks (TLV, SNP, BRD, H2O, SNG, DIGI, TEL, SNN) and 4 complementary indices (ROTX, BET-TR, BET-FI, BET-NG), about 1,690 sessions

per symbol. H2O enters the series only in July 2023, with the largest IPO in the exchange’s history. For the speed analysis we also downloaded 15-minute bars for BET and TLV around the three major shocks.

One limitation of the source changes the results, so we state it here. The `ajust` flag corrects stock splits but not dividends, and the check is direct: TLV’s return on 11 June 2024, -4.69% , is identical in the adjusted and unadjusted series. Price returns are therefore contaminated in ex-dividend windows, and the Romanian banks’ dividend season, in June, falls in the middle of the window we analyse. The primary series is accordingly **BET-TR**, the exchange’s total-return index, which is immune to this effect. In parallel, the pipeline flags any event where the gap between BET and BET-TR exceeds one percentage point over the same window.

1.2 Benchmark and events

As a model of the European market we used STOXX Europe 600, downloaded daily from Yahoo Finance’s public chart interface and aligned to the exchange’s calendar by forward-filling the last available value.

Articles from the RSS feeds of G4Media, HotNews, Digi24 and Economica were collected automatically and keyword-filtered for political content. RSS covers only the present, so the historical base is a table of 24 manually dated events, each with a confidence level and an *ex-ante* classification of origin (domestic, external, market) and expected direction. Table 5 lists them.

1.3 Estimator

The estimation window is $[-60, -11]$ trading days, truncated at the start of the series, with a minimum of 30 observations. Event windows are $[0, 0]$, $[-1, +1]$ and $[-5, +5]$. For BET and the indices the abnormal return is $AR_t = R_t - \bar{R}_{est}$. For the individual stocks we use an OLS market model against BET, and for the external control an OLS model of BET against STOXX 600, both estimated over the estimation window. The conventional statistic is $t = CAR/(\hat{\sigma}\sqrt{T})$.

Day 0 is the session in which the news appears if that falls before 18:00, and the next trading session otherwise. Every ballot was held on a Sunday evening, so day 0 is the Monday and the opening price carries the full weekend information.

1.4 Placebo calibration

The t -statistics above assume normally distributed, independent returns with volatility measured over the estimation window. On a small and illiquid market that assumption is problematic: a fixed window of 50 sessions can land in a calm regime and understate the volatility used as the denominator. To remove the dependence on a parameter we chose ourselves, we calibrate with a placebo test. We draw 500 pseudo-random trading sessions, excluding three sessions either side of every real event, and apply the identical estimator. The resulting distribution shows how large an ordinary CAR is at BVB, and each real event receives a two-sided empirical p -value on $|CAR|$.

Two further tests follow from the same null. The aggregate test asks whether mean absolute movement is larger on event days than on ordinary days, which sidesteps the multiple-comparisons problem of examining 24 events individually. The window-sensitivity test re-runs the whole calibration under four different estimation windows, which addresses the paper’s own objection that a fixed window may be unrepresentative.

2 Results

2.1 Speed: the response forms at the open

Table 1 and Figure 1 summarise the 15-minute bars. On 25 November 2024 the opening gap was -1.57% , the intraday low of -1.84% was reached at 10:15, and the close recovered to -0.89% . On 5 May 2025 the -2.13% opening gap deepened continuously into the close. On 19 May 2025, in the positive direction, almost the entire gain formed at the open.

Table 1: Speed of the intraday response of BET, from 15-minute bars.

Shock	Opening gap	Intraday low (local)	Close	Pattern
Presidential first round 2024	-1.57%	-1.84% (10:15)	-0.89%	instant shock, partial recovery
Presidential first round 2025	-2.13%	-2.88% (17:45)	-2.88%	degraded all day
Presidential second round 2025	4.12%	3.62% (12:30)	4.08%	instant gain

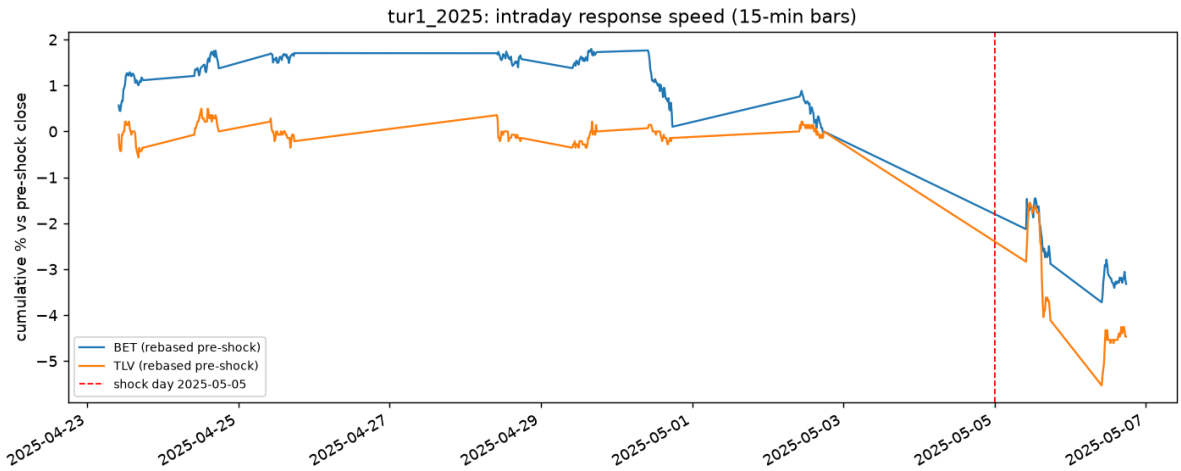


Figure 1: Intraday response to the first round of May 2025. BET and TLV rebased to the close before the shock.

2.2 Who reacts hardest

Table 2 compares the indices over the three-session window. ROTX reproduces BET, which rules out a construction artifact in the index. Financials amplify the May 2025 panic at -4.51% against BET, while energy damps systematically, at -2.82% against -3.50% . At the level of individual stocks, banks absorb the first blow: TLV fell -4.11% on 5 May 2025, against -2.88% for BET.

Table 2: $CAR[-1, +1]$ across indices, in percent. The primary series is BET-TR.

Event	BET-TR	ROTX	BET-FI	BET-NG
Presidential first round 2024	-1.60	-1.28	0.03	-0.90
Parliamentary elections 2024	-3.74	-3.58	-3.55	-2.87
Constitutional Court annulment 2024	4.34	4.21	1.90	3.67
Presidential first round 2025	-3.50	-3.32	-4.51	-2.82
Presidential second round 2025	6.94	6.88	5.14	6.13

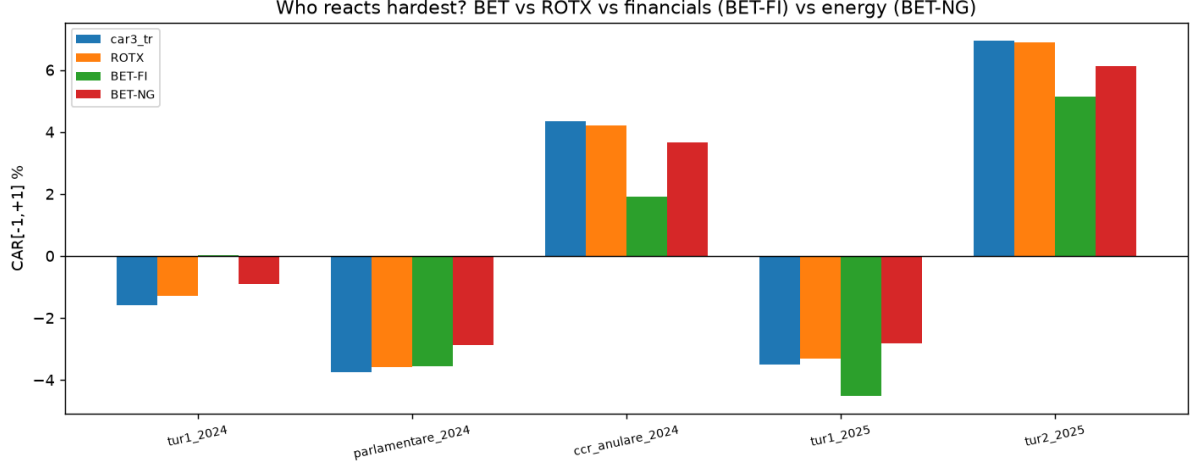


Figure 2: $CAR[-1, +1]$ across the indices for the five major shocks.

2.3 The large electoral shocks are domestic

On the key days STOXX Europe 600 is close to flat: +0.06% on 25 November 2024, +0.16% on 5 May 2025 and +0.13% on 19 May 2025. On those same days BET records -0.89% , -2.88% and $+4.08\%$. The divergences are domestic. We note that this rests on the raw comparison rather than on the model residual, for reasons given in Section 3.

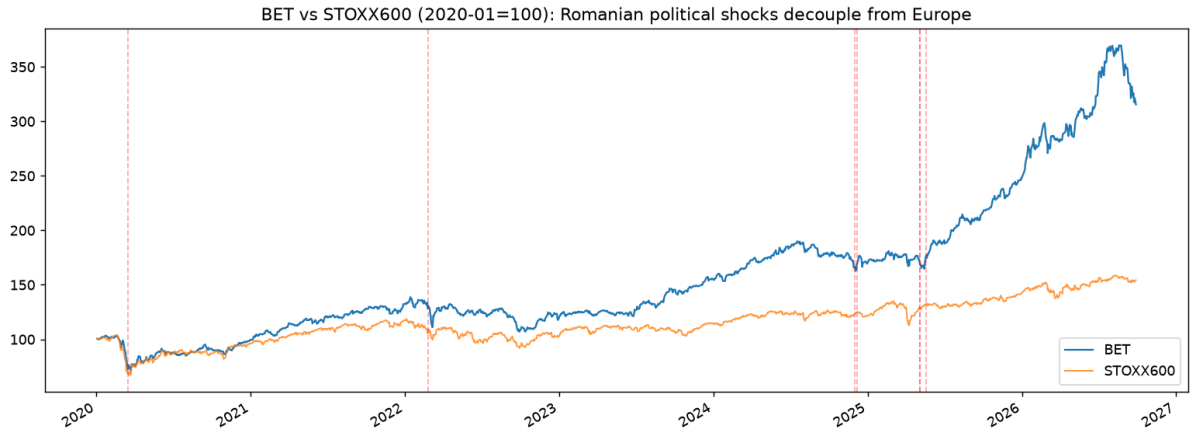


Figure 3: BET and STOXX 600, base 100 at the start of 2020. Vertical lines mark high-confidence political shocks.

2.4 Placebo calibration

The placebo test produces the most consequential result in the paper, because it recalibrates the reading of everything else. The null distribution of $CAR[-1, +1]$ has a mean of -0.03% and $\sigma = 1.94\%$, with $|CAR_3|$ at the 95th percentile of 3.98% and a maximum of 9.81% . At BVB a 3% move over three sessions occurs in 10.2% of sessions with no political news, so the effective detectability threshold for a political event is of order 4%.

Table 3: Placebo test: $CAR[-1, +1]$ on BET-TR against the null distribution.

Event	CAR_3	conventional t	empirical p	Placebo verdict
Presidential second round 2025	6,94	3,58**	0,014	clears the null
Constitutional Court annulment 2024	4,34	3,91**	0,038	clears the null
Fitch outlook to negative 2024	-4,31	-3,10**	0,040	clears the null
Parliamentary elections 2024	-3,74	-3,71**	0,066	marginal
Ciolacu resignation 2025	-3,50	-1,80	0,076	marginal
Presidential first round 2025	-3,50	-1,80	0,076	marginal
Ciolacu II government formed 2024	2,97	1,82	0,108	not significant

Of 24 political events over six and a half years, three clear the 5% threshold: the second-round presidential victory in May 2025 at 6,94% and $p = 0,014$ (percentile 98,8), the Constitutional Court’s annulment of the election at 4,34% and $p = 0,038$, and the Fitch outlook revision at $-4,31\%$ and $p = 0,040$. The December 2024 parliamentary elections sit at $p = 0,066$, inside the ordinary range, though the conventional t -test would have reported them as significant.

2.5 The aggregate test: do political news move the market overall?

Per-event tests suffer from multiple comparisons: with 24 events and a 5% threshold, roughly one would clear by chance. The aggregate test avoids the problem by asking the question directly, namely whether mean absolute movement is larger on event days.

Across the 22 distinct event sessions, mean $|CAR|$ is 2,00%, against 1,38% on sessions without an event. We compared the two through 20000 random draws from the null, and the difference has $p = 0,026$. Three events pass the 95th percentile against 1,1 expected from chance alone. The conclusion, in the form that survives these tests, is that political news produces larger movements at BVB than background noise, while the error margin on any single event is too wide to separate it from noise.

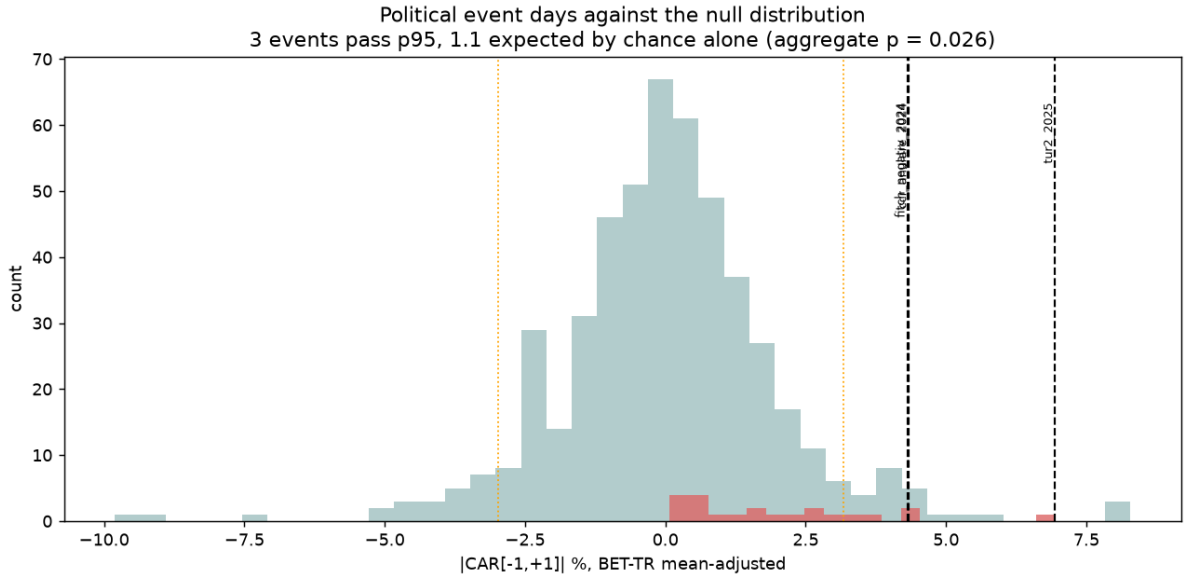


Figure 4: Absolute movement on political event days against the null distribution of non-event sessions.

2.6 Sensitivity to the estimation window

The window $[-60, -11]$ was an arbitrary choice, and the whole problem identified above stems from its possibly landing in an unusual regime. Table 4 re-runs the complete placebo test with

four windows, from 40 to 250 sessions before the event.

Table 4: Placebo results by estimation window.

Estimation window	n	$p < 0,05$	Events
$[-250, 10]$	19	4	Presidential second round 2025, Constitutional Court annulment 2024, Fitch outlook to negative 2024, Parliamentary elections 2024
$[-120, 10]$	19	4	Presidential second round 2025, Constitutional Court annulment 2024, Fitch outlook to negative 2024, Parliamentary elections 2024
$[-60, 10]$	19	4	Presidential second round 2025, Constitutional Court annulment 2024, Fitch outlook to negative 2024, Parliamentary elections 2024
$[-40, 10]$	19	4	Presidential second round 2025, Constitutional Court annulment 2024, Fitch outlook to negative 2024, Parliamentary elections 2024

The set of events passing the threshold does not change at all, and the rank correlation across windows is 1,000, so the conclusion does not depend on the window. Two details still deserve mention. The number of events reaching 5% rises from three to four as the window lengthens, because the null's 95th percentile falls from 3,98% to roughly 3.4%. And restricting the calculation to the post-COVID regime, excluding the 2020 and 2021 restrictions, gives a 95th percentile of 4,00%, practically identical to the full-period value: the fat tails of the distribution are not an artifact of the pandemic.

2.7 Group statistics, reported as description

Mean $CAR[-1, +1]$ across domestic news with an expected negative sign is $-1,00\%$ over 7 events, and $-2,94\%$ for the 2024–2025 electoral trio. We report both as description of the class rather than as inference. The expected-sign labels were assigned by the researcher with knowledge of the outcomes, so any test built on that classification is circular by construction. A legitimate test would require a prospective register of events, announced before they occur.

Anticipated events do not move the market. The 2021 no-confidence motion that ousted the Ciucu government with 281 votes, the largest such vote in the country's history, leaves a CAR of -0.19% . The December 2020 parliamentary elections, in which AUR surprised, leave -0.18% . In both cases the outcome was public before voting day.

3 Three results that turned out to be measurement failures

The three most striking results of the analysis are not market phenomena.

3.1 The Ciucă government: a global selloff day

The 25 November 2021 event shows a CAR of $-2,60\%$ with $t = -3,02$, among the largest in the table. The raw path shows otherwise. 26 November 2021 was the global selloff triggered by the designation of the Omicron variant, with STOXX 600 at $-3,67\%$ and BET at $-3,41\%$, closing at the low of the day. BET fell less than Europe. The investiture day itself was positive, at $0,57\%$. Volumes confirm a market-wide move: TLV at 4.09 million shares against roughly 1.6 million previously, BRD at 175,000 against about 69,000, SNG at 180,000 against about 14,000.

The -2.04% residual reported as a STOXX-adjusted effect is an artifact of beta instability. The beta estimated over the calm window, about 0.37, understates the crisis co-movement, about 0.93, so the model predicts a small BET decline, BET falls almost in line with Europe, and the model books a fictitious domestic shortfall. A market control is not conservative by construction. Any check of an effect's domestic origin has to compare raw returns with STOXX, not only the model residual. The explanation we initially entertained, that the market taxed the

grand coalition, has no support: such a tax would have appeared on the investiture day, which was positive.

3.2 June 2024 elections: dividend season

The event shows -3.01% with $t = -3.49$. On total returns the same event is -0.59% . The cause is the banks' ex-dividend season, which falls exactly in the event window. The pipeline now flags this type of contamination automatically, and flags no other event in the series.

3.3 The court annulment: a rebound that had already started

The Constitutional Court's decision of 6 December 2024 shows $+2.97\%$ on day 0 and 4.34% over three sessions, with one of the largest t -statistics in the table. The rebound had begun on 4 December, two sessions before the decision: BET traded -3.24% intraday, then reversed violently and closed green. The estimation window ends around 19 November and does not contain the late-November decline, so a stale baseline reads the post-crash rebound as a positive abnormal return. We keep the movement as an observation, since STOXX was flat and the domestic divergence is real, but exclude it from inference.

4 Limitations

Statistical power is low by construction. There are 24 manually dated events, and the placebo calibration shows the detection threshold at BVB is of order 4% over three sessions, so this design cannot settle many further questions about such effects. The number of events reaching the 5% threshold varies with the estimation window, between three and four, even though their identity does not; we report this rather than pick a window. No official total-return series exist for the individual stocks, so BET-TR covers the index only and dividend contamination remains possible at the stock level. BET's composition changes over time and the basket used here is fixed. RSS covers only the present, so the historical base depends on manual dating, and two events carry medium confidence. BVB is illiquid, so the intraday inference rests on high-turnover sessions.

External validation is exact: the data reproduce the figures reported in the financial press, with BET at 16,982 points and -0.89% on 25 November 2024 [2], -1.69% intraday and -0.5% on the second day in May 2025 [3], and all indices red [5, 4].

5 Conclusion

Romanian politics moves BVB fast. The Monday opening price is the reaction, and in November 2024 the intraday low came 15 minutes after the open. The cross-section is coherent: banks absorb the first blow, energy damps, and the large electoral shocks are demonstrably domestic.

On magnitude the answer has two halves, and the first is the important one. In aggregate, political news produces movements larger than background noise, a gap of 2.00% against 1.38% in mean absolute movement at $p = 0.026$. Taken one at a time, only three of 24 events reach 5% , and one of those three turns out to owe more to something else than to politics. Event studies on illiquid markets seldom report more, and the distance between a publishable result and a wrong one lies in the test that cannot be fooled by multiple comparisons.

For an investor the practical conclusion is unchanged: reaction windows open at 10:00 and close within minutes. What changes is the reading. Not every piece of electoral news deserves a position, only moves of whole percentage points, and the return belongs to the gap between the expected and the received.

The methodological contribution is probably the most transferable. A fixed estimation window can land in a calm regime and inflate every t -statistic at once; here the effect showed up as

a difference between three and four significant events depending on the window. A price adjustment that covers splits but not dividends can manufacture anomalies of two or three percentage points in the middle of dividend season. A market control calibrated in calm conditions can turn a global crash day into a fictitious domestic effect. All three produced results in this study that, taken at face value, would have supported wrong conclusions. The code, the data, the placebo test and the figures are available for replication and extension.

A The event set

Table 5: Events in the input table.

Event	Type	Day 0	Confidence
COVID state of emergency	health	16 Mar 2020	high
Local elections 2020	election	28 Sep 2020	high
Parliamentary elections 2020	election	7 Dec 2020	high
Orban resignation 2020	government	8 Dec 2020	high
Citu I government formed	government	23 Dec 2020	high
Stelian Ion crisis 2021	government	1 Sep 2021	high
No-confidence motion 2021	no-confidence	5 Oct 2021	high
Ciucu government formed 2021	government	25 Nov 2021	high
Russian invasion of Ukraine	external	24 Feb 2022	high
Ciolacu rotation government 2023	government	15 Jun 2023	high
Hidroelectrica IPO listing 2023	market	12 Jul 2023	high
Local + European elections 2024	election	10 Jun 2024	high
Presidential first round 2024	election	25 Nov 2024	high
Parliamentary elections 2024	election	2 Dec 2024	high
Constitutional Court annulment 2024	court	6 Dec 2024	high
Schengen land accession 2024	external	12 Dec 2024	high
Fitch outlook to negative 2024	rating	18 Dec 2024	medium
Ciolacu II government formed 2024	government	23 Dec 2024	high
BEC rejects Georgescu 2025	court/election	10 Mar 2025	high
Presidential first round 2025	election	5 May 2025	high
Ciolacu resignation 2025	government	5 May 2025	high
Presidential second round 2025	election	19 May 2025	high
Bolojan government formed 2025	government	23 Jun 2025	high
Fiscal package (VAT rise) 2025	fiscal	7 Jul 2025	medium

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